

**SENATE SUBSTITUTE FOR
HOUSE BILL NO. 6074**

A bill to prohibit certain companies from acquiring or purchasing certain residential property; to provide for the powers and duties of certain state officers and entities; and to prescribe certain penalties, civil sanctions, and remedies.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 3. As used in this act:

2 (a) "Excepted purchase" means a purchase of a single-family
3 home that is any of the following:

4 (i) Purchased under a build-to-rent program where the large
5 institutional investor purchases newly constructed single-family
6 homes to be managed as rental properties, whether as communities
7 exclusively of renter-occupied single-family homes or as
8 communities of single-family homes that are both owner- and renter-



1 occupied.

2 (ii) Purchased pursuant to a renovate-to-rent program that
3 meets both of the following requirements:

4 (A) Substantially rehabilitates single-family homes that do
5 not meet structural or core system elements of local building
6 codes.

7 (B) Makes improvements in an aggregate dollar amount of not
8 less than 15% of the purchase price of the single-family home.

9 (iii) Purchased pursuant to a homeownership program that meets
10 all of the following requirements:

11 (A) Requires rental payments and any other fees that are not
12 greater than those collected by the large institutional investor on
13 other similarly situated single-family homes not covered by the
14 eligible homeownership program.

15 (B) Is subject to a contract between the large institutional
16 investor and renter that is considered a consumer credit
17 transaction secured by a dwelling or real property.

18 (C) Provides for positive reporting of rental payments to
19 consumer reporting agencies for any renter who is informed of and
20 opts into the reporting.

21 (D) Requires contribution of meaningful financial support from
22 the large institutional investor, including price concessions, for
23 the purchase of the single-family home by the renter.

24 (iv) Purchased pursuant to a program to boost homeownership
25 that meets all of the following requirements:

26 (A) Provides for positive reporting of rental payments to
27 consumer reporting agencies for any renter who is informed of and
28 opts into the reporting.

29 (B) Provides for a right of first refusal and a 30-day first



1 look period.

2 (C) May provide meaningful financial support from the large
3 institutional investor, including price concessions, to the renter
4 for the purchase of a single-family home by the renter. The
5 meaningful financial support may be for the purchase of the single-
6 family home the renter occupies or another home.

7 (v) Purchased by a mortgage service, lender, or other entity
8 that has a legal right to the single-family home, not as a long-
9 term investment strategy, but to mitigate loss or comply with
10 servicing or investor obligations, and only as a result of a
11 foreclosure, a deed-in-lieu of foreclosure, an enforcement of a
12 mortgage, deed of trust, or other security interest, or an
13 operation of law following a borrower default. A single-family home
14 purchased under this subdivision must be disposed of within a
15 commercially reasonable period after acquisition.

16 (b) "Large institutional investor" means an investment fund,
17 corporation, general or limited partnership, limited liability
18 company, joint venture, association, or other for-profit entity
19 that meets all of the following requirements and is not a local,
20 state, tribal, or federal government entity or instrumentality of a
21 local, state, tribal, or federal government entity:

22 (i) Is engaged, in whole or in part, in the business of
23 investing in, owning, renting, managing, or holding single-family
24 homes.

25 (ii) Beginning on the effective date of this act, alone or in
26 concert with 1 or more other entities, directly or indirectly has
27 investment control of more than 100 single-family homes in the
28 aggregate in this state, not including a single-family home
29 purchased as an excepted purchase made after the effective date of



1 this act.

2 (iii) Manages or has a net value of \$375,000,000.00 or more at
3 any point during the taxable year the investor purchases or seeks
4 to purchase a single-family home in this state.

5 (c) "Purchase" means to purchase, transfer, or otherwise
6 acquire a single-family home, including through merger,
7 acquisition, construction, foreclosure, or bulk purchase, whether
8 or not for cash consideration.

9 (d) "Single-family home" means a structure that contains 2 or
10 fewer dwelling units that are each intended for residential
11 occupancy by a single household. Single-family home does not
12 include a manufactured home. As used in this subdivision,
13 "manufactured home" means that term as defined in 42 USC 5402.

14 Sec. 5. For purposes of this act, an entity has direct or
15 indirect investment control over a single-family home if any of the
16 following apply:

17 (a) The entity owns or has primary authority or fiduciary
18 responsibility to make material investment or management decisions
19 relating to the single-family home.

20 (b) The entity is, or directly or indirectly controls, the
21 general partner or managing member of the entity that owns the
22 single-family home.

23 (c) The entity is or controls the investment manager,
24 management company, or investment advisor of the entity that owns
25 the single-family home.

26 (d) The entity owns or controls more than 25% of any class of
27 equity interests of the entity that owns the single-family home,
28 unless the entity is a passive investor.

29 (e) The entity otherwise controls the entity that owns the



1 single-family home.

2 Sec. 7. (1) Except as otherwise provided in this section, a
3 large institutional investor shall not purchase or enter into a
4 contract to directly or indirectly purchase a single-family home in
5 this state.

6 (2) The prohibition under subsection (1) does not apply to any
7 of the following:

8 (a) An excepted purchase.

9 (b) The purchase of a single-family home in connection with a
10 restructuring or other reorganization of ownership of single-family
11 homes that were owned or purchased on or before the effective date
12 of this act.

13 (c) The purchase, ownership, development, rehabilitation,
14 preservation, financing, or operation of a single-family home
15 pursuant to a brownfield plan, work plan, or housing development
16 activity approved by the Michigan state housing development
17 authority under the brownfield redevelopment financing act, 1996 PA
18 381, MCL 125.2651 to 125.2670. As used in this subdivision,
19 "brownfield plan", "housing development activity", and "work plan"
20 mean those terms as defined in section 2 of the brownfield
21 redevelopment financing act, 1996 PA 381, MCL 125.2652.

22 (d) The purchase of a single-family home that is constructed,
23 rehabilitated, or otherwise designed as a dwelling unit and meets
24 both of the following qualifications:

25 (i) Is approved by the Michigan state housing authority.

26 (ii) Is rented by an income qualified household as that term is
27 defined in section 2 of the brownfield redevelopment financing act,
28 1996 PA 381, MCL 125.2652.

29 Sec. 9. A large institutional investor that violates this act



1 is subject to a civil fine of not more than \$25,000.00 per single-
2 family home acquired in violation of this act. The prosecutor of
3 the county in which the property acquired in violation of this act
4 is located or the attorney general may bring an action to collect
5 the fine. A fine collected must be deposited in the general fund.

